ONE-PAGE DECISION MEMO

Mobility Shift | Dubai RTA Bus Network | DecodeX 2026 | Case 03 | NLD Synapse | 28 February 2026

1 What Fundamentally Changed After the Regime Shift?

Metro Phase 2 launched July 1, 2025 and triggered a confirmed PERMANENT REGIME CHANGE in two route segments:

- **Express Routes (X11, X28, X66): +29.8%** demand surge — buses became the primary last-mile connector to Metro stations. This is structural and permanent. MAPE 1.1% in Q4 confirms.
- **Feeder Routes (F25): −18.2%** structural contraction — CBD corridor demand migrated to Metro. The core Feeder value proposition (CBD endpoint service) no longer exists in these corridors.

*City routes remained stable **(+2.2%)** and Intercity showed a blended seasonal/Metro effect with Q4 recovery. The Stage 1 planning model is NOW INVALID for Express and Feeder; VALID for City.*

2 What Trade-Offs Were Accepted?

- Feeder frequency reduction accepted at cost of some passenger inconvenience — justified by structural demand loss. F25 passengers who migrated to Metro will not return to bus regardless of frequency.
- Conservative City route forecast (using Q3 base, not Stage 1 projection) — accepted the **risk of underforecast** to avoid **over-allocating fleet** before Q4 validation confirmed City beat. **Q4 showed +14%** underreaction — identified but within acceptable operating range.
- Zero new procurement — the entire fleet reallocation operates within the existing fleet. This means Express service improvements depend on Feeder/Intercity release timing. If Feeder demand partially recovers (as seen in **Q4 Feeder +9.3%**), less fleet is available for Express.
- Intercity blended model (**80% of Stage 1**) was a deliberate conservative assumption. Q4 showed Intercity recovered **+12.3% above Q3 base** — confirming the blended model slightly under-forecasted, but directionally correct.

3 What Final Decision Is Recommended?

Immediate (October 2025):

- Reduce X11/X28 Express headway from **15 min to 8–10 min** in **peak hours**. Deploy **2 buses freed from F25.**
- Reduce F25 Feeder **frequency** to **30–35 min (from 20 min).** Frees 2–3 buses immediately.

Q4 (November–December 2025):

- Deploy volatility buffer (**1–2 buses reserve**) to City routes **— Q4 validation confirmed +14% underreaction. C01/C03 risk** approaching **4,000 daily Pax** in December.
- Reduce **E16/E22** Intercity to **45 min** headway. **Frees 1–2** additional buses for winter peak buffer.

Strategic (2026):

- **Redesign F25 as Metro** interchange connector. Prioritise **13 km** dedicated bus lanes for Express corridors. Deploy first electric buses on **X11/X28 (highest daily cycles).**

4 What Risks Remain?

- City Underreaction Risk **(HIGH):** Q4 showed City beating Stage 2 forecast by **14%**. If this continues in Q1 2026 (peak tourist season), **C01 and C03** may breach **4,000** daily Pax — an overload not anticipated in the current fleet plan.
- Congestion Floor Risk **(MEDIUM)**: Q4 average congestion was **2.83** — better than **Q3 (3.09**) but still above the H1 2025 baseline of **~2.5.** Dedicated bus lanes are NOT yet in place. Any congestion spike (event-driven, construction) will hit Express routes disproportionately.
- Feeder Partial Recovery Risk **(MEDIUM):** Q4 Feeder recovered **+9.3%** above Q3 base — better than forecast. If F25 Feeder frequency has already been cut and demand rebounds further in Q1 2026 (winter tourism season), F25 may be under-served. Recommendation: delay full F25 frequency cuts until February 2026 Q1 review.
- Forecast Model Obsolescence **(ONGOING):** Every 6 months post-Metro, the demand structure will continue evolving as Metro adoption matures. This analysis provides a validated Q3/Q4 2025 snapshot. The recalibration discipline established here must be repeated quarterly — not treated as a one-time exercise.